Churn is a month-to-month problem: 7 of 7 left, 0 of 8 on contracts

Decision question. Where should we focus retention effort and spend over the next quarter?

Recommendation

Run a 90-day retention pilot, with a holdout group, aimed at month-to-month customers in their first year and anyone raising 3 or more support tickets. If the pilot saves 10-30% of the customers who would otherwise churn, churn falls from 46.7% to 32.7%-42.0% and about $41-$123 of monthly revenue is kept in this 15-customer sample.

These are what-if ranges built on stated assumptions, not forecasts. The sample is small (15 customers), so the finding is a strong lead to test, not a proven cause.

Contents: the situation, five insights, impact ranges, limitations, recommended action.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

THE SITUATION

Nearly half of customers churned, but only a third of revenue

46.7%

customers churned

7 of 15

$410

monthly revenue lost

32.3% of $1,270

7 vs 29

avg tenure, months

churned vs retained

4.3 vs 1.0

avg support tickets

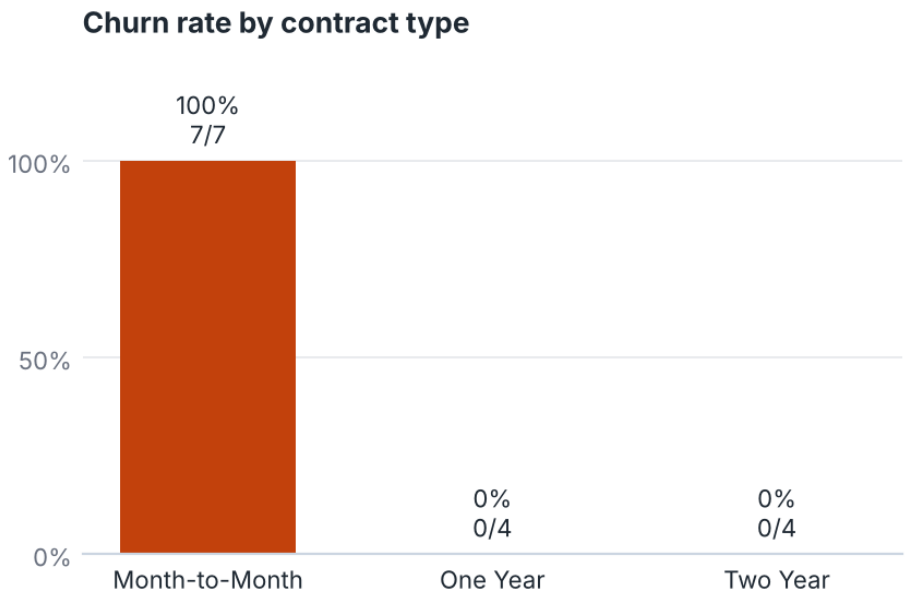
churned vs retained

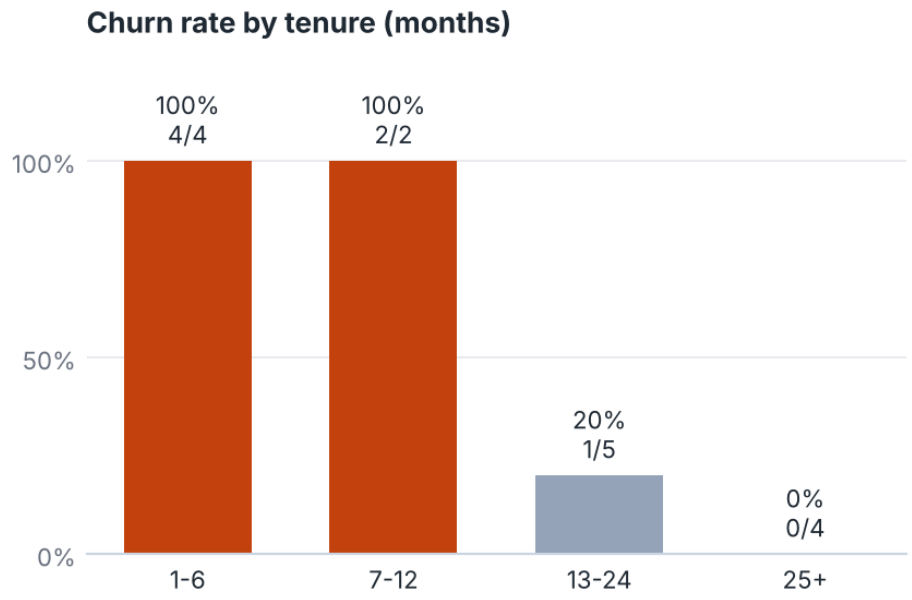
What this means. Customers who leave are newer, contact support far more, and pay less ($58.56 a month on average versus $107.49 for those who stay). That is why customer churn (47%) is higher than revenue churn (32%). The business is losing many small accounts, while Enterprise accounts, all 4 retained, carry nearly half of monthly revenue.

Data check: no missing values or duplicate IDs; TotalCharges equals monthly charge times tenure for every row, so it adds no information beyond those two fields.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

Contract type and early tenure mark who leaves





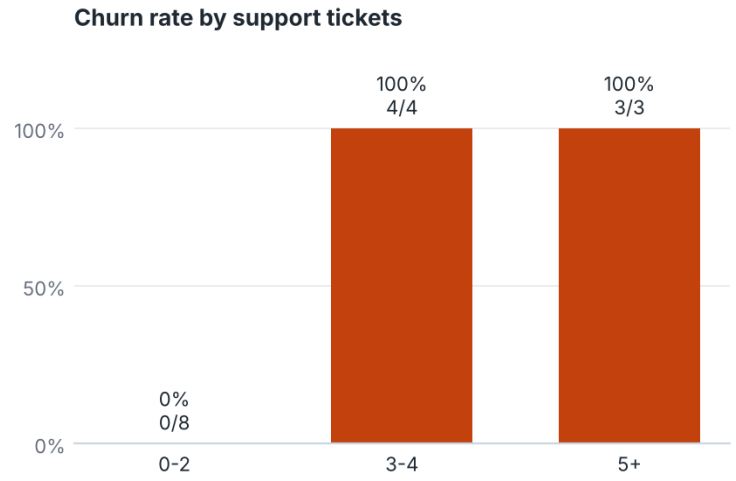
1. Contract type. All 7 month-to-month customers churned; none of the 8 on one- or two-year terms did (exact one-sided p = 0.0002). With so few customers, the true month-to-month churn rate could plausibly be as low as 59%, still very high.

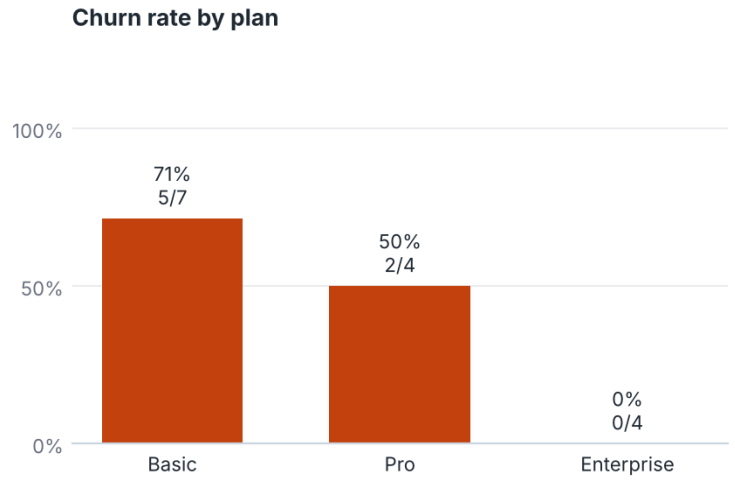
2. Early tenure. Every customer with 12 months or less (6 of 6) churned, and nobody beyond 24 months did. The first year is when we win or lose the account.

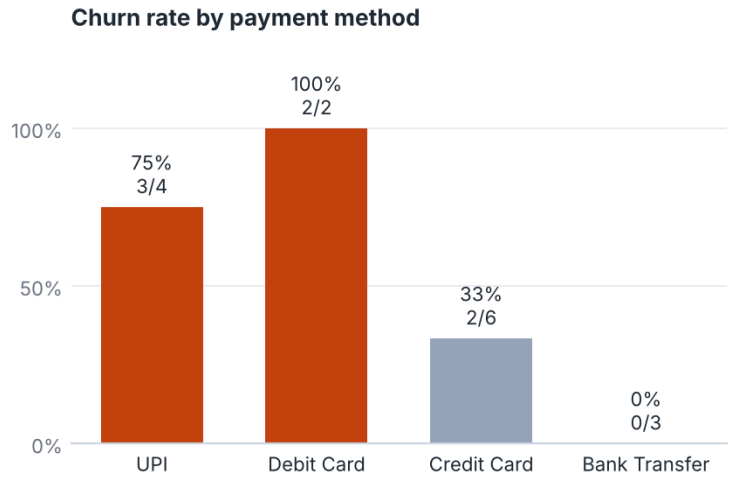
Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

INSIGHTS 3, 4 AND 5

Support load, low-priced plans and payment method add detail







3. Support load. Nobody with 0-2 tickets churned (0 of 8); everyone with 3 or more did (7 of 7). Tickets are a usable early-warning signal.

4. Plan and value. Basic lost 5 of 7, Enterprise none. Churners pay about half as much, so fixing churn protects customer count more than revenue ($410 a month at stake).

5. Payment method (weak). UPI and debit-card payers churn most, but this probably mirrors contract and plan. Treat it as a hypothesis, not a lever.

Note: the month-to-month customers and the customers with 3+ tickets are the same 7 people, so this sample cannot tell contract effect and support experience apart.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

EXPECTED IMPACT (WHAT-IF RANGES)

A 10-30% save rate would cut churn to about 33-42%

Scenario	Churners saved	Churn rate after	Monthly revenue kept	Per year	Share of monthly revenue
Low: save 10% of churners	0.7 of 7	42.0%	$41	$492	3.2%
Mid: save 20% of churners	1.4 of 7	37.3%	$82	$984	6.5%
High: save 30% of churners	2.1 of 7	32.7%	$123	$1,476	9.7%

Assumptions

- Baseline: 7 of 15 customers churned (46.7%), losing $409.93 of $1,269.85 monthly revenue.
- A saved customer keeps paying the average churner's $58.56 a month, for 12 months.
- The 10-30% save rate is a planning assumption to be replaced by pilot results. It is not measured in this data.
- Program cost (discounts, staff time) is not included. Net benefit = revenue kept minus that cost.

Read these as the size of the prize in this sample. Apply the same percentages to the full customer base for a real estimate.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

LIMITATIONS

What this analysis can and cannot tell us

Very small sample. 15 customers. A 100% or 0% rate here is a sample fact; the true rate is uncertain (month-to-month could be as low as about 59%; contracts could be as high as about 37%).

Drivers overlap. Contract type, ticket volume and early tenure describe largely the same customers, so we cannot say which one causes churn.

Association, not cause. Nothing here shows that moving a customer to an annual contract will keep them. That is what the pilot tests.

No timing or reasons. We have a snapshot with no cancellation dates, exit reasons, pricing history or acquisition channel.

No cost data. Impact figures are revenue kept, not profit. Program costs must be netted off.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.

Recommended action: a 90-day pilot with a holdout group

1. **Offer a contract upgrade.** Give month-to-month customers a discounted annual plan at the 60-90 day mark, focusing on Basic and Pro.
2. **Protect the first year.** Add an onboarding check-in programme for the first 12 months, the period where 6 of 6 customers churned.
3. **Act on the third ticket.** Trigger proactive outreach when a customer raises a third support ticket, before they raise a fourth.
4. **Keep Enterprise as is.** No Enterprise customer churned; spend retention effort elsewhere.
5. **Test and measure.** Hold out a control group. Success: churn among treated month-to-month customers at least 5 points below the holdout.

Decision requested: approve the pilot and a larger data pull (cancellation dates and reasons) so the next review uses real save rates.

Source: cleaned_customer_churn.csv, 15 customers. Small sample: directional evidence only.